

USDA rural home loans, explained in one sitting

Who they are for, the two kinds, the income limits, and how to apply. Free for families at usda.3fs.app.

The short version. USDA Single Family Housing loans help people with modest incomes buy or build a home in an eligible rural area, often with **no down payment**. There are two kinds: a **Direct** loan (USDA lends to you) and a **Guaranteed** loan (an approved lender lends, USDA backs it). You need income under the limit for your area, a home in an eligible area, and reasonable credit.

The two kinds, side by side

	Direct loan (Section 502 Direct)	Guaranteed loan (Section 502 Guaranteed)
Who lends	USDA Rural Development itself	A bank, credit union or lender approved by USDA
Who it is for	Low and very-low income households	Low to moderate income households
Income limit used	The low-income limit for your area (about 80% of area median)	The moderate-income limit (115% of area median, with a national floor)
Down payment	Usually none	Usually none
Rate help	Payment assistance can lower the effective rate, in some cases to 1%	Market rate; upfront 1% guarantee fee and 0.35% annual fee, usually rolled in
Term	33 years, or 38 for very-low income	30 years
Where to apply	Local USDA Rural Development office, often through a certified loan packager	Any USDA-approved lender
Speed	Slower; depends on office staffing and funding	Like a normal mortgage

The income limits for FY2026

USDA publishes a limit for every county and metro area, for households of 1 to 4 and 5 to 8 people. For 9 or more, add 8% of the 4-person limit per extra person. The Guaranteed limit has a national floor: **\$122,800** for 1 to 4 people and **\$162,100** for 5 to 8. About three quarters of the country's income areas (2,065 of 2,724) use exactly that floor. Higher-cost metros go up from there.

Area (FY2026)	Guaranteed 1–4	Guaranteed 5–8	Direct 1–4	Direct 5–8	USDA table page
Most rural counties (floor)	\$122,800	\$162,100	varies by county	varies	—

Area (FY2026)	Guaranteed 1–4	Guaranteed 5–8	Direct 1–4	Direct 5–8	USDA table page
Fannin County, GA	\$122,800	\$162,100	\$61,600	\$81,350	71
Macon-Bibb metro, GA	\$122,800	\$162,100	\$61,750	\$81,550	66
Atlanta metro, GA	\$135,500	\$178,900	\$94,250	\$124,450	64
Nashville metro, TN	\$133,550	\$176,300	\$92,900	\$122,650	303
Phoenix metro, AZ	\$129,250	\$170,650	\$89,900	\$118,700	20
Raleigh, NC	\$152,600	\$201,450	\$106,150	\$140,150	241
Denver metro, CO	\$153,550	\$202,700	\$106,800	\$141,000	38

Source: USDA FY2026 Adjusted Income Limits, HB-1-3550 Appendix 9, PN 657 (07/13/2026)

It is adjusted income

USDA compares the limit to adjusted annual income: the household's gross income minus deductions, such as \$480 for each child under 18 or full-time student, \$400 for an elderly or disabled member, and certain child-care and medical costs. A family slightly over the limit may still qualify.

What counts as a rural area

Open country and towns of up to about 20,000 people outside a metropolitan area qualify, and some towns up to 35,000 are grandfathered. Large parts of every state qualify, including the outer rings of most metros. The exact address is confirmed on USDA's property eligibility site: eligibility.sc.egov.usda.gov.

How to apply, in order

1. Check your place at usda.3fs.app: both limits, the area type, and nearby places where you qualify.
2. Pick the loan type: under the low-income limit, look at Direct first; between low and moderate, Guaranteed.
3. Gather your documents (see the 3FS document checklist).
4. Guaranteed: call a USDA-approved lender and get pre-approved. Direct: contact your state USDA Rural Development office or a certified packager.
5. Shop for a modest home in an eligible area; have the lender confirm the address before you offer.
6. Closing costs run 2% to 5%; the seller may pay up to 6% toward them, and Guaranteed loans can finance them when the appraisal allows.

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